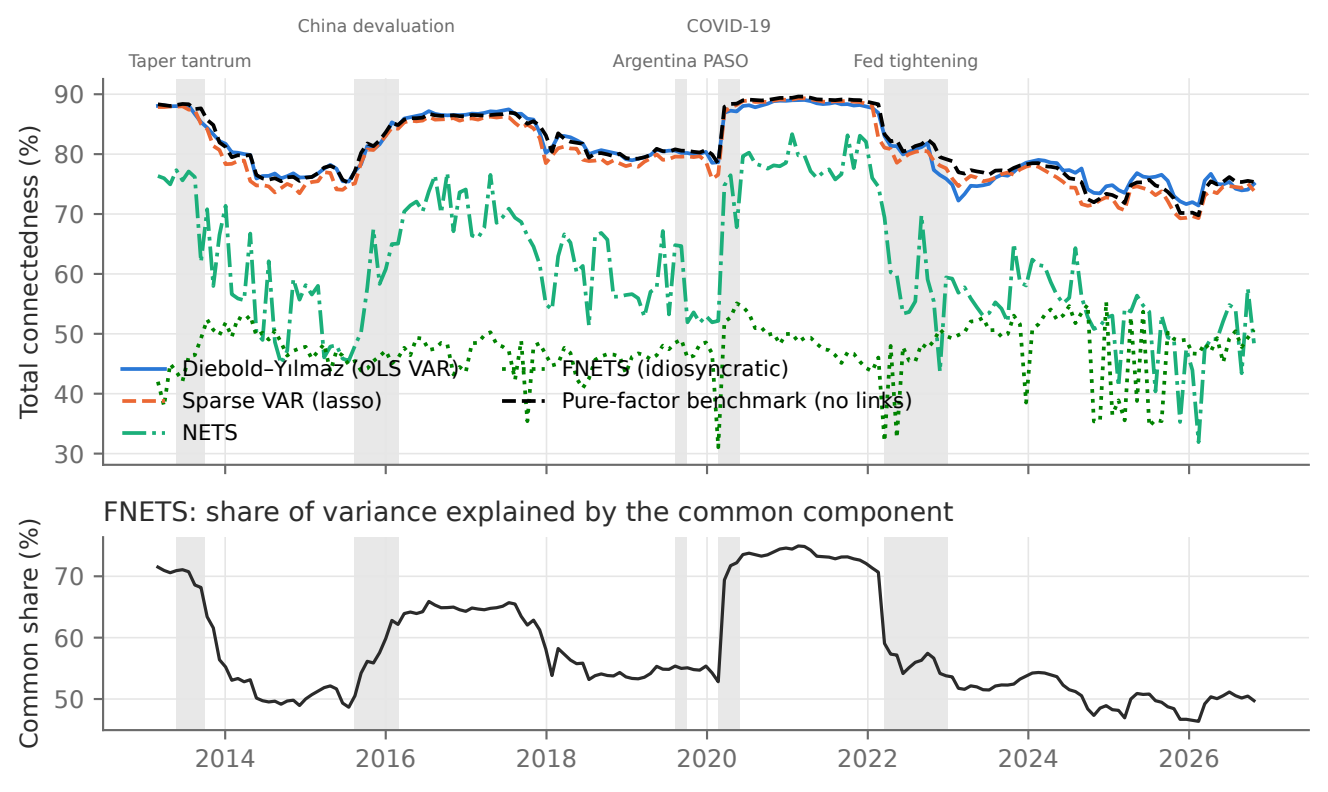
China devaluation
COVID-19
Taper tantrum
Argentina PASO
Fed tightening
Total connectedness (%)
90
80
70
60
50
40
30
Diebold–Yılmaz (OLS VAR)
Sparse VAR (lasso)
NETS
FNETS (idiosyncratic)
Pure-factor benchmark (no links)
FNETS: share of variance explained by the common component
Common share (%)
70
60
50
2014
2016
2018
2020
2022
2024
2026